

Rigetti Computing, Inc.

RGTI NASDAQ

Neutral

\$20.63 ▲ 6.09%

12M Price Target
\$22.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$6.86B

RGTI: Reiterate Neutral; Insider Selling Offsets Quantum Sector Momentum

WHAT'S CHANGED

- Cluster insider selling intensified: Director Johnson sold ~\$2.6M on 6/8 and CEO Kulkarni sold \$1.49M on 6/1 at \$24.38 — notable distribution into strength near 52-wk midpoint.
- Stock rebounded +6.09% to \$20.63 on heavy 44.6M volume after two-day -10.7% drawdown; near-term call flow (\$20.5 strike, 3,867 contracts at 2.1x OI) confirms tactical bid despite 0.28 P/C ratio skew.

IMPLICATIONS

The Google-DOE quantum funding headline reinforces the narrative that private capital — not government-conditional R&D — will set the pace, a marginal positive for well-capitalized pure-plays like RGTI. However, the Zacks/Schaeffer's coverage cycle and "Nvidia 2019" comparisons are sentiment-driven rather than fundamental, and with management taking liquidity at \$21-24, the risk/reward into Q2 print skews to fade-the-rally rather than chase. Tech sector +3.73% 1D rebound provides beta tailwind, but RGTI trades at only 22% of its 52-week range, signaling distribution from the cohort that owned it through the late-2025 melt-up.

VALUATION

At \$6.86B market cap against ~\$18M FY26E revenue, RGTI trades at ~380x EV/sales — a multiple that prices in commercial fault-tolerant quantum advantage well before any line-of-sight to it. Our \$22 PT reflects a blended scenario weighting: bull case of \$32 (sector multiple expansion on a breakthrough qubit milestone) against bear case of \$13 (dilutive capital raise, which the company has historically used). Multiple compression is the dominant risk; revenue must inflect to >\$50M to justify current levels.

KEY RISKS

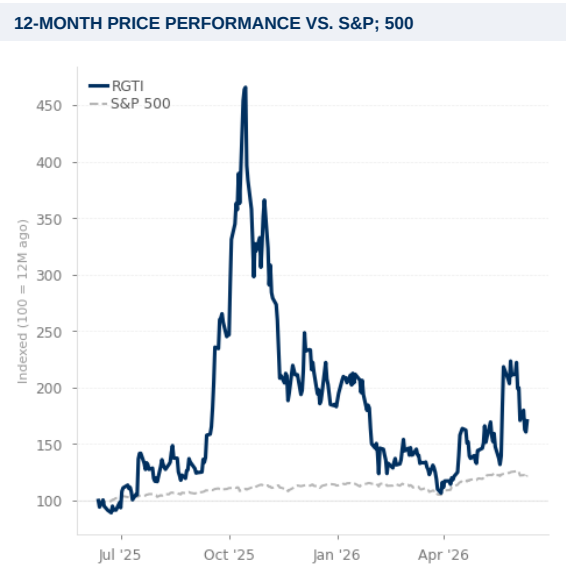
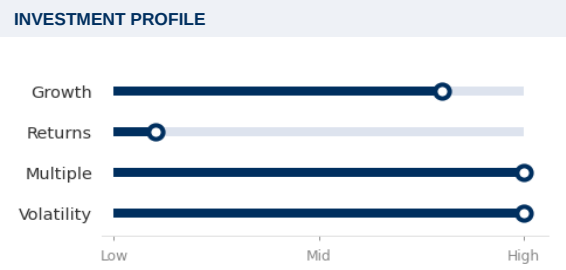
- Cluster insider selling (CEO + Director, ~\$4.1M in 8 days) signals management views current price as full value.
- Pre-revenue economics: gross margins immaterial, cash burn requires periodic equity issuance — share count up materially over trailing 24 months.
- Binary technical risk — competition from IBM, Google Willow, and IonQ trapped-ion architecture could render superconducting roadmap obsolete.

RECENT NEWS

The Zacks Analyst Blog Highlights IonQ, D-Wave Quantum and Rigetti Computing
Zacks · 2026-06-11 15:10

Google spurned U.S. quantum fund over conditions that would slow R&D
Investing.com · 2026-06-11 14:02

Key Data	
Price (USD)	\$20.63
12M Price Target	\$22.00
Upside / (Downside)	+6.6%
Market Cap	\$6.86B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$22.00	\$16.00
6 Months	\$32.00	\$23.00	\$13.00
1 Year	\$40.00	\$25.00	\$11.00
2 Years	\$55.00	\$30.00	\$9.00
5 Years	\$100.00	\$45.00	\$6.00
10 Years	\$250.00	\$80.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.73%), Materials (+3.27%)

COLD SECTORS: Healthcare (relative laggard 1D), Comm. Svcs (+1.00% only)

ROTATION WATCH: Risk-on rebound favored high-beta tech/quantum names today after a -5.16% 5D tech drawdown; momentum reversal could extend if AI capex commentary stays constructive into late June.

BYPRODUCT PLAY: Cryogenic supply chain (helium-3, dilution refrigerators) and quantum-safe cryptography names benefit from quantum capex regardless of which architecture wins.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Zacks flagged profit-taking signal — implies IONQ has outpaced peer group meaningfully, sustaining higher relative strength than RGTI which sits at only 22% of 52-wk range.
- QBTS (D-Wave Quantum): Continues to draw analyst coverage as quantum annealing finds commercial niche traction faster than gate-based competitors.

RGTI CONTEXT: RGTI is lagging the quantum cohort — at 22% of its 52-wk range while IONQ commentary suggests it sits near highs. Cluster insider selling at \$21-24 reinforces relative underperformance signal versus peers.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$15-17 on quantum sector pullback

Time Horizon: 12-24 months

Thesis Invalidation: Qubit roadmap slippage, dilutive raise >15%, or loss of DARPA/government contracts

Hedging: Pair short vs long IONQ or QBTS basket; long-dated \$15 puts